

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 25-02

NIELSEN & BAINBRIDGE, LLC v.
OCEAN NETWORK EXPRESS PTE. LTD., ORIENT OVERSEAS CONTAINER
LINE LIMITED, OOCL (EUROPE) LIMITED, EVERGREEN LINE JOINT SERVICE
AGREEMENT (FMC#011982), EVERGREEN MARINE CORPORATION (TAIWAN) LTD.,
EVERGREEN MARINE (UK) LIMITED, ITALIA MARITTIMA SPA, EVERGREEN
MARINE (HONG KONG) LTD., EVERGREEN MARINE (SINGAPORE) PTE. LTD., AND
YANG MING MARINE TRANSPORT CORPORATION

**MOTION TO SEVER and
MOTION FOR A MORE DEFINITE STATEMENT**

Pursuant to Federal Maritime Commission (“Commission”) Rules 12, 69, and 70, 46 C.F.R. §§ 502.12, 502.69, 502.70, *inter alia*, and Federal Rules of Civil Procedure Rules 20 and 21, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “OOCL”) hereby move to sever the claims against OOCL as set forth in Complainant Nielsen & Bainbridge, LLC’s (“NBG”) Complaint (“Complaint”). For the reasons set forth herein, such claims should proceed separately as to OOCL (and as to each individual respondent).

In the alternative, and pursuant to Commission Rule 67, OOCL moves for a more definite statement.

I. INTRODUCTION

Treatment of Complainant’s wholly-unrelated claims against five unrelated carriers in one suit is inappropriate because Complainant’s claims do not satisfy Federal Rule of Civil Procedure 20(a)’s requirement for permissive joinder that each claim arise from the same transaction or

occurrence, or series of transactions or occurrences.¹ Even assuming arguendo that Complainant's claims satisfied Rule 20(a), severance under Rule 21 would be necessary to avoid prejudicing the rights of OOCL to a fair proceeding. Put simply, given the individualized nature of Complainant's relationship with each named Respondent, Complainant should be required to file a separate Complaint against each Respondent setting forth its individual cause(s) of action.

In its Complaint, Complainant asserts separate claims on behalf of itself and various affiliates regarding separate alleged breaches of separate service contracts by at least five² separate ocean common carriers – Ocean Network Express Pte Ltd. (“ONE”), OOCL, Evergreen Line Joint Service Agreement (FMC #011982), Evergreen Marine Corporation (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd. (collectively “Evergreen”), and Yang Ming Marine Transport Corporation (“Yang Ming”). There is, however, no cause of action asserting any joint action by ONE, OOCL, Evergreen, and Yang Ming or of any joint and several liability of the Respondents.

II. LEGAL AUTHORITY AND ARGUMENT

Federal Rule of Civil Procedure Rule 21 provides authority to the trial court, either pursuant to motion or on its own, to “sever any claim against any party.” Although Rule 21 is titled “misjoinder and nonjoinder of parties,” severance under Rule 21 is not limited to merely curing the misjoinder of parties. *United States v. O’Neil*, 709 F.2d 361, 369 (5th Cir. 1983); *Henderson*

¹ While there is no Commission Rule regarding severance of pleadings, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Further, Commission Rule 74 provides that: “Commission or the Chief Administrative Law Judge (or designee) may order two or more proceedings which involve substantially the same issues consolidated and heard together.” Thus, it would follow that the Commission may order two or more proceedings which do **not** involve substantially the same issues to be separated.

² Complainant identified Respondents broadly as five entities but OOCL is not aware of the specific relationships between Complainant and the six different Evergreen respondents, which may involve multiple service contracts or related issues.

v. AT&T Corp., 918 F.Supp. 1059, 1065 (S.D. Tex. 1996). Severance creates separate actions and allows a severed claim to proceed as a discrete, independent action for which the court can render a final judgment notwithstanding the continued existence of the original suit. *Hayes v. Miller*, 341 Fed.Appx. 969, 970 (5th Cir.2009); *Allied Elevator, Inc. v. E. Tex. State Bank*, 965 F.2d 34, 36 (5th Cir. 1992); *O'Neil*, 709 F.2d at 368.

A. Grounds for Severance

The decision whether to grant a severance motion is committed to the sound discretion of the trial court (and, by analogy, the Presiding Officer). *State of N.Y. v. Hendrickson Bros., Inc.*, 840 F.2d 1065, 1082 (2d Cir. 1988); *Wausau Bus. Ins. Co. v. Turner Constr. Co.*, 204 F.R.D. 248, 250 (S.D.N.Y. 2001); *Anderson v. Red River Waterway Commission*, 231 F.3d 211, 214 (5th Cir.2000). “Courts may order a Rule 21 severance when it will serve the ends of justice and further the prompt and efficient disposition of litigation.” *T.S.I. 27, Inc. v. Berman Enters., Inc.*, 115 F.R.D. 252, 254 (S.D.N.Y. 1987); *see also In re Methyl Tertiary Butyl Ether Prods. Liab. Litig.*, 247 F.R.D. 420, 427 (S.D.N.Y. 2007).

While the question of whether it should sever claims is within the broad discretion of the trial court under Rule 21, in making its decision, a trier of fact must consider the following questions derived from Rule 20(a) regarding the proper joinder of parties:

- 1) whether the claims arise out of the same transaction or occurrence;
- 2) whether the claims present some common questions of law or fact;
- 3) whether settlement of the claims or judicial economy would be facilitated;
- 4) whether prejudice would be avoided if severance were granted; and
- 5) whether different witnesses and documentary proof are required for the separate claims.

Erausquin v. Notz, Stucki Mgmt. (Berm.), 806 F. Supp. 2d 712 (S.D.N.Y. 2011); *Disparte v. Corp. Exec. Bd.*, 223 F.R.D. 7 (D.D.C. 2004); *Morris v. Northrop Grumman Corp.*, 37 F. Supp. 2d 556, 580 (E.D.N.Y. 1999).

While there does not appear to be any direct Commission precedent regarding severance of claims, it is also true that cases against multiple ocean carriers filed before the Commission are generally filed separately with respect to separate respondents.³ And in Docket 22-14, filed by a single complainant against two separate ocean carriers, the respondents raised the problems associated with litigating two separate cases of alleged failure to meet service contract obligations in a single proceeding, which complainant resolved by filing two separate complaints (Dockets 22-20 and 22-21). Further, guidance can be gleaned from cases requiring individual identification of parties. As explained in *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. - Possible Violations Of 46 U.S.C. § 41102(c)*, Docket No. 21-17 (Order dated March 28, 2022), each respondent in a case involving multiple respondents is entitled to know precisely what is being alleged as to it. There, the Presiding Officer summarized:

“Due process requires that persons charged with unlawful conduct be given prior notice of the charges and an opportunity to be heard in defense before the government can take enforcement action.’ *Soule Glass & Glazing Co. v. NLRB*, 652 F.2d 1055, 1073 (1st Cir. 1981). Pursuant to the Administrative Procedures Act, in an administrative adjudication, the respondent is entitled to notice of “the matters of fact and law asserted.” 5 USC § 554(b). The decision in *Holt Cargo* was predicated on the respondents’ due process rights, and supports the arguments made

³ For example, in recent years counsel for Complainant has represented complainants that have commenced separate actions against separate ocean carrier respondents in a number of instances. *See, e.g., TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Docket 24-10 (2024), *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Docket 24-09 (2024), and *TZ SSE Buyer, LLC v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Docket 24-08 (2024)); and *20230930-DK-Butterfly-1, Inc. v. BAL Container Line Co., Limited*, Docket 25-01 (2025), *20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line Joint Service Agreement (FMC #011982) consisting of Evergreen Marine Corp. (Taiwan) Ltd.; Evergreen Marine (UK) Limited; Italia Marittima SpA; Evergreen Marine (Hong Kong) Ltd.; and Evergreen Marine (Singapore) Pte. Ltd.*, Docket 24-12 (2024), *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Company SA*, Docket 23-12 (2023), and *20230930-DK-Butterfly-1, Inc. f/k/a Bed, Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Docket 23-02 (2023).

in the motion. Each entity named as a respondent in a proceeding has the right to understand what allegations are being made against it.”

The Presiding Officer’s Order discussed above cited to and followed a similar order issued in *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, 22 SRR 1582 (“ALJ Order Requiring that each Complainant Individually be Identified with each Claim or Allegation” 2000), where the Presiding Officer required that the individual Complainants (there were three) be identified with respect to each claim or allegation that any of the Complainants made against Respondents.

Here, OOCL requests the Commission do more than require individual treatment in future pleadings in line with case law pursuant to Federal Rules of Civil Procedure 20 and 21.

B. Application of Case Law to the Complaint

Application of the five factors discussed in the preceding legal analysis reveals that all five factors support severance:

1) Whether the claims arise out of the same transaction or occurrence.

They do not. Complainant has not alleged any specific transaction or occurrence that is common among all Respondents. Rather, the alleged claims appear to span several years (2020-2021 for all Respondents and 2021-2022 for Respondents OOCL, ONE, and Evergreen), and involve the Ports of Los Angeles, Long Beach, Oakland, New York and New Jersey, Savannah, Houston, Seattle and Tacoma. Respondent carriers would have carried Complainant’s goods on different vessels at different times, to and from different ports.

The only allegations that come close to the “same transaction, occurrence, or series of transactions or occurrences” is that Complainant alleges, without specificity, that two separate alliances, one of which includes Respondents OOCL and Evergreen and the other which includes Respondents ONE and Yang Ming, “engaged in concerted, coordinate, and/or parallel activity to

restrict capacity in order to avoid taking volume from one another and to keep prices high.” (Complaint at ¶¶ 12, 50). However, throughout the Complaint section entitled “Concerted, Coordinated, and/or Parallel Activity of Respondents” (Complaint at ¶¶ 50-60), Complainant does not make any specific or particular claims, but rather makes note of the existence of the alliances as if that means the Respondents are acting in concert. Even if participation in the alliances in question constituted the “same transaction or occurrence” (which OOCL denies), Complainant has identified two different alliances, meaning all five Respondents are not even alleged to have acted together.⁴

2) *Whether the claims present some common questions of law or fact.*

Undoubtedly there will be some common questions of law that cut across some of the claims. It is true that all of the claims will have to be judged against the same series of federal regulations. However, there are different regulations at issue, and the facts against which those various regulations will have to be interpreted will be different with respect to each Respondent. There is nothing to be gained by combining all of those different factual and legal debates.

3) *Whether settlement of the claims or judicial economy would be facilitated.*

Severance of these claims would clearly aid the Commission and promote judicial economy. By separating the omnibus action into individual claims, they become far more manageable for pleadings, discovery, and trial. Severance of the claims also will avoid unnecessary confusion with respect to the various allegations. In particular, and indicative of the type of confusion that will arise if these claims are not severed, Complainant asserts that “Respondent COSCO merged with China Shipping in 2015 and acquired Respondent OOCL in 2018,” despite

⁴ Throughout this section of the Complaint, Complainant also references at least thirteen unrelated carriers that are not named as Respondents in this action and the discussion of which is wholly irrelevant to any alleged claims Complainant may have. (See Complaint at ¶¶ 50-60).

the fact that COSCO is not a named respondent in this action. (Complaint at ¶ 52).

4) Whether prejudice would be avoided if severance were granted.

Yes. Respondents are prejudiced in time and cost by having to read and respond to claims that are wholly unrelated to whatever claims Complainant has against each. By requiring Complainant to proceed separately against each carrier, the problem is completely solved.

Conjoining what should proceed as at least five separate cases raises a number procedural and logistical issues. In answering the Complaint, for example, OOCL will need to answer almost every allegation multiple times – one as to OOCL and then an insufficient information answer as to the other carriers. There are approximately 90 paragraphs out of 218 that are wholly unrelated to OOCL.

There may also be differences between the schedule appropriate for one Respondent versus the others. Additional issues of this sort will likely arise if the case proceeds as filed – e.g., what happens if counsel for one Respondent needs an extension, but counsel for the other Respondents do not. Those may be raised, if necessary, as they arise, but OOCL is of the view that such issues could be avoided at this early stage by severing the cases and requiring Complainant to proceed individually against each Respondent as is standard practice.

Severance will avoid the substantial prejudice of having multiple parties in attendance at each deposition to hear testimony of one party's witness(es) wholly unrelated to the claims pertaining to the other Respondents. The time and expenses incurred will be enormous if this case is not severed.

5) Whether different witnesses and documentary proof are required for the separate claims.

Yes. But for vague references to alliances in which some of the Respondents participate (and which also include a number of entities that are not respondents in this action), there would

not be one bit of evidence overlapping from one claim to another. All of the witnesses, and all of the documentary evidence would be completely different and separate for each of Complainant's claims. Factually, there is no connection between the charges by one carrier and any other.

In sum, the factors employed to evaluate motions to sever all weigh in favor of severing these actions into distinct and separate dockets.

MOTION FOR A MORE DEFINITE STATEMENT

In the event that this Commission determines that Complainant's claims against OOCL should not be severed, OOCL alternatively requests, pursuant to Commission Rule 67, a more definite statement setting forth Complainant's allegations against OOCL. Commission Rule 67 provides, in relevant part:

If a pleading . . . to which a responsive pleading is permitted is so vague or ambiguous that a party cannot reasonably prepare a response, the party may move for a more definite statement before filing a responsive pleading.

The Complaint fails to state how or why OOCL violated the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* Rather, the Complaint vaguely alleges generally that “demurrage and detention charges” (the “Charges”) were assessed by OOCL and all other Respondents against Complainant over a two-year period of time. The Complaint does not identify invoice numbers or container numbers or provide any specific details regarding the Charges to indicate they were improperly charged. The Complaint also does not allege a sum certain amount of damages Complainant is alleged to have incurred as a result of OOCL's alleged actions.⁵

The Complaint identifies “Complainant's Injuries” at paragraphs 189-194. In those

⁵ Such a specification of damages is required by the Commission's Rules – 46 C.F.R. 502.62(a)4). *Samsung Electronics America, Inc. v. OOCL*, Docket No. 24-17 (Order Partially Granting Motion to Dismiss). ALJ November 18, 2024 (“SEA will therefore be ordered to amend its complaint to specify the amount of damages in compliance with Rule 62. See 46 C.F.R. § 502.66(a)”).

paragraphs, Complainant lumps together ONE, OOCL, and Evergreen, despite those entities being wholly unrelated. It also alleges that Respondents (generally, with no specific attribution) “produced delays in freight transportation, appropriate[d] scarce resources for ocean freight expenses, caus[ed] uncertainty and scarcity within the business, and disrupt[ed] Complainant’s ability to operate” without providing any examples or evidence of such behavior. OOCL cannot possibly respond to these allegations in any meaningful way. In its “Causes of Action” section at paragraphs 195-203, Complainant alleges one paragraph for each cause of action, again lumping together all Respondents and generally alleging a “systematic fail[ure] to meet their respective service commitments.” Complainant fails to specifically identify any particular basis as to how each Respondent has violated each identified section of the Shipping Act.

Further, for the reasons set forth above regarding OOCL’s Motion to Sever, OOCL has no knowledge of or overlap with the other named Respondents in this action and cannot respond to the allegations directed at those entities.

Complainant seeks damages against several Respondents for alleged demurrage, detention and delay costs. However, the Complaint consists of conclusory allegations and alleges unspecified damages on behalf of all Respondents generally without specific supporting facts. In the event the Presiding Officer does not see fit to sever Complainant’s claims as against OOCL, Complainant should be ordered to provide a more particular statement with respect to its claims against OOCL.

CONCLUSION

For the reasons set forth above, Respondent OOCL respectfully requests the Presiding Officer sever Complainant’s claims as against OOCL into a distinct action, so as to allow it to

proceed separately. In the alternative, OOCL respectfully requests the Presiding Officer order Complainant to more precisely establish its claims as against OOCL.

Dated: January 23, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to all counsel of record in the above-captioned action by email, return receipt requested, on this 23rd Day of January, 2025.

/s/ Emma C. Jones

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